

Keep every promise, grow the rest

Investment strategy and research report for Laura Gao
Wharton Global High School Investment Competition 2026-27

Team Caplet · September 2026

Prepared for Team Caplet with an AI research assistant (Claude Code). It is research and inspiration, not text to submit: the team decides the strategy, writes its Trading Notes and IPS in its own words, and records AI use as Wharton requires. "Model" figures are computer estimates, not forecasts. Every trade is subject to the team's vote and a check of the trading platform.

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Executive summary

Laura Gao has asked us to invest \$450,000 so that she can fund her creative residency in Taiwan. She needs ten payments of \$50,000 a year from 2033, made "with a high degree of certainty", and she wants to contribute responsibly to the residency's building while keeping some flexibility.

Our recommendation: keep every promise, grow the rest

- 1. **January 2027.** Her first \$300,000 buys ten U.S. government bonds, one maturing just before each \$50,000 payment. From that day, the payments no longer depend on markets.
- 2. **January 2028.** Her second deposit of \$150,000 buys a bond that repays \$150,000 before 2033. This is money for the building that she owns outright. The remaining ~\$40,000 goes into one global stock fund.
- 3. **2031 and 2033.** She tells partners a range: the \$150,000 she owns, up to that plus half of the stock fund. In 2033 the bonds pay the residency and the building gift is made. No trades are needed after 2028.

10 of 10	\$150k	\$207k	\$169k
payments secured in January 2027	building money owned three years before partners are asked	typical money for the building and flexibility in 2033 (model)	the same figure in the worst six years of U.S. market history

Why this is the right plan for Laura

- **Her promises do not depend on markets.** Plans that rely on markets miss a payment up to 46% of the time if her second deposit never arrives (model). Ours does not, once the bonds are bought.
- **She never has to take a number back.** The bottom of her 2031 range is money she already owns, and the gift can never exceed the top she announces.
- **Bad years hurt less.** In the worst stretch of market history, our plan still leaves \$169,000 for the building, against \$120,000 for the next-best design.
- **It is simple.** Two purchases on two dates. Nothing to manage in 2031.

What it costs her

Less exposure to the stock market (about 9% of her money from 2028 to 2032) and a smaller share of a boom. For a founder whose public name rides on these promises, we believe this is the right trade, and we say so openly.

How we reached it

We ran a research program in eight phases: we logged every official rule, asked 472 questions from ten angles, kept the 48 that could change a decision, had twelve specialists answer them with auditors checking the work, asked four teams to attack the plan, settled one final design, tested it

blind against five other common approaches, and checked every number one last time. In the blind test, all three reviewers playing Laura ranked our plan first.

What we discovered along the way

- This year's trading rules are public, and the \$300,000 is only just enough to buy the ten payments. On most days of 2026 it would not have been.
- Two official competition documents were missing from our files; they are now filed.
- The famous quote in the case cannot be traced to Laura, and a popular story about her comes from a reporter. Neither is used.
- The real field is about 2,300 finishing teams, not 6,300.

What we need from the team

Three recorded votes before the first trade, a check of the trading platform's limits, and trades placed by 2 October. The Trading Notes are due 23 October and the Investment Policy Statement on 6 November.

Understanding Laura

Laura is a bestselling graphic novelist, illustrator, entrepreneur and educator. Her income comes from publishing advances, speaking and licensing. She plans a creative residency in Taiwan and wants to fund it reliably.

What she asked for	What it means for her portfolio
Ten payments of \$50,000, 2033-2042, with "a high degree of certainty", from the portfolio alone	These come first. Secure them with bonds rather than hope markets cover them.
A responsible contribution to the building	Own a floor early, then add a share of the growth that actually happens.
A credible range for partners in 2031	The bottom of the range must be money she already has.
Flexibility as the project develops	Some money stays hers after 2033.
Balance growth with protecting capital	Take market risk only with money nobody depends on.

The insight that shaped everything

Laura's career is already her biggest risk. A weak year for her books would also shrink her second deposit. So her portfolio should not add the same kind of risk to the money her promises depend on. We protect first and grow second.

Her money, in and out

- **In:** \$300,000 in January 2027 and \$150,000 in January 2028. Nothing else before 2033.
- **Out:** \$50,000 every January from 2033 to 2042, plus the building contribution in 2033.
- Her living costs, taxes and Taiwan's legal questions are handled elsewhere.

The plan, year by year



Only the first two dates need trades. After that the plan runs itself.

Where her \$450,000 goes

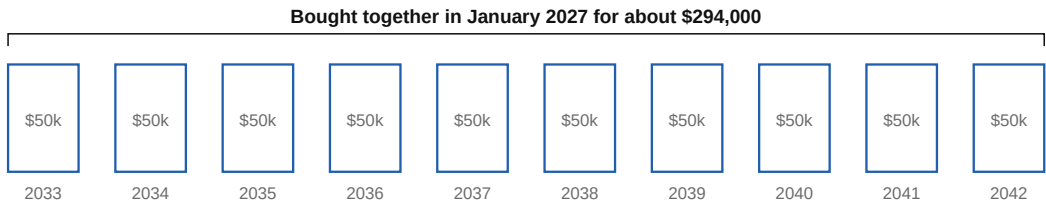


Approximate amounts at September 2026 prices. The building-floor bond costs about \$118,000 in 2028 and repays \$150,000 just before 2033. Blue marks the only money exposed to the stock market.

If the bonds cost more than \$300,000 in January (this happens if interest rates fall first), we buy the latest payments first and use the 2028 deposit to finish the rest before anything else. Our model says this is needed in about 1 case in 3. The payments are still fully secured once the 2028 money arrives.

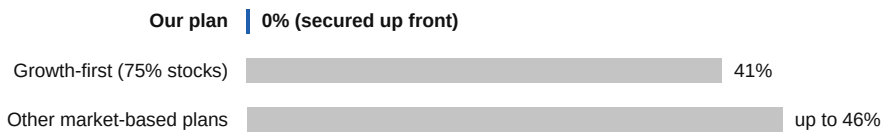
How safe are the payments?

Each bond pays out just before its payment date. Stock-market crashes, a slow year for Laura's books, or changes in interest rates do not change what these bonds pay.



One bond for each \$50,000 payment: a "ladder".

Chance of missing a payment if the 2028 deposit never arrives



Model estimates.

What we are open about

Remaining risk	How the plan handles it
Interest rates fall before January 2027	Buy the latest payments first; the 2028 deposit completes the rest.
Rates fall <i>and</i> the 2028 deposit never comes	Up to about \$31,000 of the first payment would be missing. We state this.
Building costs in Taiwan rise, so \$50,000 buys less each year	Payments are fixed in U.S. dollars. We name this gap rather than hide it.
The U.S. government fails to pay	The only risk to secured payments. Remote, but named.

What Laura can tell partners in 2031

Partners who help fund a building want to know that the founder's number is real. With this plan Laura can say, truthfully, that the first \$150,000 is already owned, and that more is likely if markets hold.



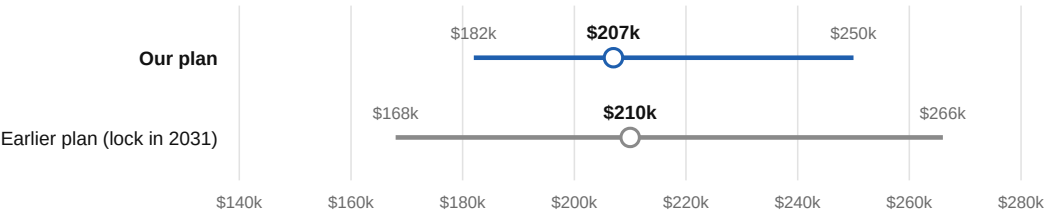
A typical case. The top of the range is fixed on the day she speaks, from what the stock fund is worth then.

\$150k	~\$174k	~\$32k
the floor, owned three years before she speaks	typical building gift in 2033 (model)	typical money she keeps for flexibility (model)

- The gift is the floor plus half of the stock fund, never more than the top she announced. She cannot overpromise.
- The top is reached in about 7 of 10 model cases, and in 84% of two-year periods of U.S. market history.
- In a strong market the extra stays with her, rather than raising expectations she may not meet next time.

Results in good years and bad

Money for the building and flexibility in 2033



Left end: a bad case (1 in 20 is worse). Circle: the typical case. Right end: a good case (1 in 20 is better). Model estimates on JPMorgan's 2026 long-term market assumptions.

The worst six years in U.S. market history since 1928

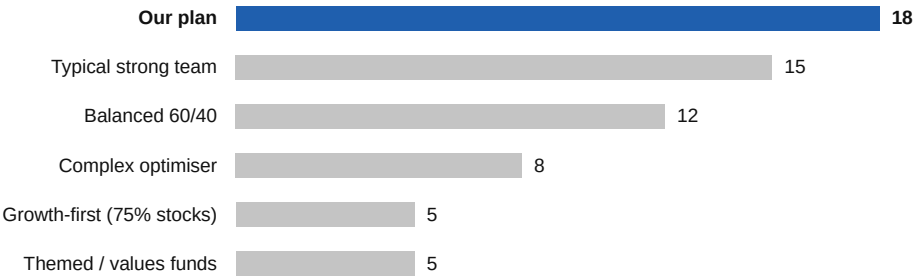


Every six-year period from 1928 to 2025, replayed as 2027-2032 and adjusted to today's assumptions.

The typical result is almost the same either way. Our plan gives up a little of the best case in return for a much better worst case, and a building floor that is fixed years before Laura speaks to partners.

Would Laura choose this plan?

We tested the plan blind. Six one-page plans, ours and five common approaches, were stripped of names and style. Three separate reviewers, each asked to think like Laura using only the case and her own checked public words, ranked all six. Each read them in a different order.



Ranking points: 6 for first place down to 1 for last, added across three reviewers (18 is the maximum). A simulation, not Laura's real opinion.

What the reviewers said

- The bottom of the range is money she already owns, so she cannot overpromise.
- The other plans leave her promises depending on markets until 2033.
- The plan is honest about its own costs and gaps.

Their one criticism: it can read as too cautious. The answer is to say clearly where the bold move is (the residency itself) and to state the price of certainty in one line.

The competition portfolio

In the competition's trading game (\$300,000, 28 September to 6 November) we recommend holding Laura's plan as it would look in January 2028, scaled to \$300,000. Every trade then shows a real part of the strategy.



Recommended mix, about 1% in cash. Each fund must first be confirmed as available on the platform and within its holding limit; alternatives are ready.

Holding	Its job in Laura's plan	Trading note
Government bond funds	Stand in for the ten payment bonds	The promise
A 2032 government note	Stands in for the \$150,000 building floor	The floor
A world stock fund	The growth money nobody depends on	Growth

How the research was organised

We treated the case as a real client file. The work ran in eight phases. Each handed a smaller, better set of material to the next, and nothing moved on without a source.



The eight phases and what each produced.

From many questions to the few that matter



A question survived only if its answer could change a decision, it pointed to a real source, it was not trivial or already answered, and at least two of three sceptics agreed it should stay.

Why work this way? It stops a clever plan being built on an unchecked fact. Every figure in this report can be traced to an official document, a checked source, or a model we can re-run.

Phase 1 · Foundations: the real rules and facts

We logged every official document as 324 numbered lines, checked market facts at their sources, mapped everyone with a stake in the plan, and set trading guardrails.

This year's trading rules are public

\$300,000 of virtual cash (the same as Laura's first deposit), up to 200 trades, any listed fund or U.S. government bond, no minimum number of sectors, no day trading, and notes that cannot be edited once saved. The limit on any one holding is visible only after logging in, and a common 25% limit would block our largest fund, so it is checked first. Two official documents, the 2026-27 Competition Guide and Infographic, were missing from our files and are now filed; the Infographic says "Strong teams explain the reasoning, assumptions, and tradeoffs behind their decisions." Last year about 2,300 of 6,300+ registered teams finished.

\$300,000 is only just enough

The ten payment bonds cost about \$294,000, leaving about \$5,600 spare. Earlier in 2026 the same bonds cost more.

176 days: the ten bonds cost more than \$300,000



9 days: under \$300,000

Trading days in 2026 up to 25 September, for the ladder of bonds we would actually buy.

Market facts, checked at the source

- The U.S. central bank raised its rate to 3.75-4.00% on 16 September 2026. The 10-year government bond yield was 5.17% on 25 September (an online summary claiming 4.22% was wrong).
- Taiwan: prices up 2.04% in the year to August; building costs up 6.53%, but about 3.5% a year since 2021.
- JPMorgan expects long-run returns of about 7.0% a year for world stocks and 3.1% for cash.

Traps hidden in the case

- \$450,000 goes in and \$500,000 is promised, yet the ten payments cost only about \$294,000 today: the difference is interest.
- "High degree of certainty" is never defined. We define it by price: bought, not forecast.
- The reserve is "set aside" in 2033, when the first payment is due; buying it in 2027 is safer.
- No currency is named, though the residency is in Taiwan. The rules effectively ban currency contracts, so there is no hedge.
- The story's advisor "decides"; the real rules forbid it. All decisions are the students'.

Phase 2 · Questions: looking from every angle

Twenty question-writers, working in pairs from ten angles, produced 472 questions and collected 271 quotes.

Angle	What it looked for
The case, line by line	What the case says, leaves out, or changed from past years
Laura's own story	Her public interviews, books and talks, and how Wharton frames her
Her career and income	How steady her income is, and what that means for the 2028 deposit
Professional practice	How pension funds and private-wealth advisers handle promises like hers
Markets in 2026	Interest rates, stocks, AI, Taiwan and currency
Future partners	What a co-funder checks before trusting a founder's number
Judges and past winners	What strong teams do, and what a "typical strong team" will submit
Her own words	Quotes collected so they can be checked word for word
Client synthesis	Her goals and limits in one picture; Laura as a buyer choosing between firms
Contrarian	The strongest case against our own plan

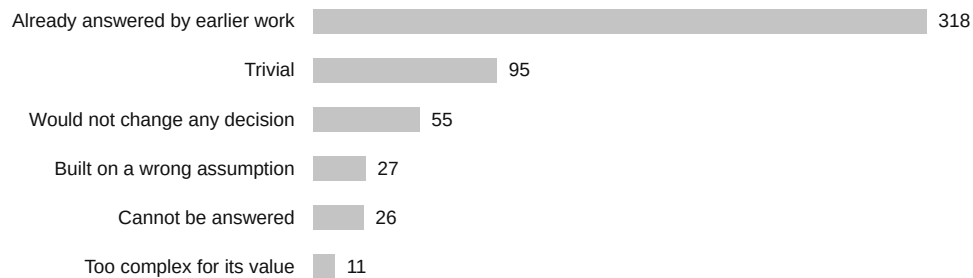
The questions that mattered most

- How much money should stay free for flexibility after the reserve, and by what rule?
- Which "if this happens, we do that" rules must be fixed in advance?
- What do we do if interest rates fall before January 2027 and the bonds cost more than \$300,000?
- Should the trading game show Laura's first-year portfolio, or the plan once all three jobs exist?
- What does "thoughtful risk" mean for a founder like Laura?
- How should a range be told to partners without overpromising?

Phase 3 · Filter: keeping only what changes a decision

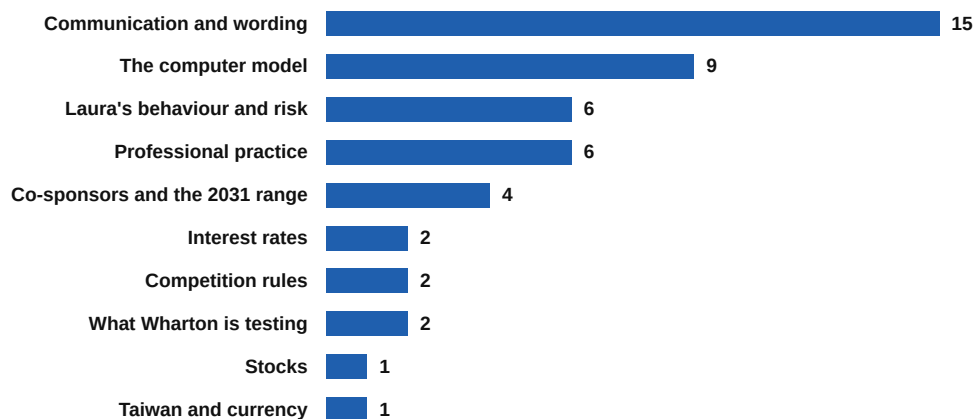
Duplicates were merged, leaving 248 questions. Each then faced three sceptics: a competition judge, a checker for questions already answered, and a statistician hunting for wrong assumptions. 48 survived.

Why questions were cut



Reasons the sceptics gave (one question can receive several).

Where the 48 surviving questions landed

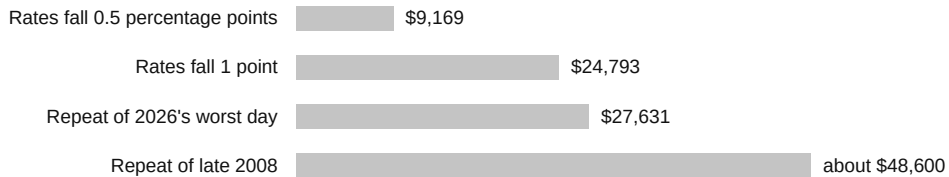


The lesson: most questions that sound important fail a plain test. The biggest group of survivors was about how to explain the plan, not about the investments themselves.

Phase 4 · Research: interest rates and the first purchase

Twelve specialists answered the 48 questions, and five auditors re-ran their numbers. The first question was the most urgent: what if the ten bonds cost more than \$300,000 when the money arrives?

How much money would be missing in January 2027 if rates fall first



Model estimates. In every case the \$150,000 deposit in 2028 covers the gap; about \$51,000 covers the worst three-month fall since 1990.

- **Buy everything on arrival.** Waiting for better prices, or buying in stages, gives no reliable gain and a 27-35% chance of needing the 2028 deposit (model).
- **If short, buy the latest payments first.** After a 1-point fall with no second deposit, \$31,400 would be unfunded, against \$47,700 the other way round. The cost: part of the first year waits for the 2028 deposit.
- **Never promise "at most".** A repeat of late 2008 would need a third of the second deposit. The honest wording is "when the second deposit arrives".
- **The one stress case we name:** if rates fall and the second deposit never comes, \$11,957 (0.5-point fall) or \$31,413 (1-point fall) of the 2033 payment is unfunded.
- **Useless alarms are dropped.** A "below fully funded" warning can never fire once all payments are bought; the right check is simply "is every payment bought?"

Phase 4 · Research: stocks and our computer model

Stocks: worth owning, but only with money nobody relies on

- **The hurdle is not zero.** Government bonds for her 2028-2033 dates earn about 5.2% a year, so stocks must beat that to be worth their risk.
- **The extra reward is small and uncertain:** JPMorgan expects stocks to beat bonds by 1.5-1.8 points a year; Vanguard by about zero; all sources range from -1.2 to +2.4 points.
- **Prices look high on past profits but normal on next year's**, because 2026 profits are expected to jump about 32%, led by AI chips. The plan must work either way.
- **A world fund spreads the AI bet.** Its ten largest companies are 21.7% of it, against 38.8% for the main U.S. index. It still owns Asian chipmakers, so we never claim it removes AI risk.

Share of the fund in its ten largest companies



What the model taught us

- **Payments are never short if the 2028 deposit arrives**, even if it is only \$75,000 or a year late (model).
- **The biggest drivers of the building money** are the size of the second deposit (a \$75,000 deposit cuts the typical result by \$98,000), fees (1% on everything costs about \$32,000) and which forecaster is right (Vanguard's view: -\$6,000).
- **Buying only part of the payments** never fails if the deposit arrives, but fails in 13-26% of futures without it. Buying all ten costs just \$900-5,200 of typical building money.
- **The model has too few crashes** (big falls in 0.3% of years versus 3.1% in history), so we always show real history beside it. In history replays, the payments stayed secure every time.

Phase 4 · Research: Taiwan, currency and the competition rules

What a fixed \$50,000 is worth in today's money



At 2.5% a year inflation. The payments are certain in U.S. dollars, but they buy less each year; we name this gap once.

- **Building costs in Taiwan** are expected, not certain, to rise about 2-3.5% a year, so a fixed U.S. dollar buys roughly 12-20% less building by 2033. The +6.53% jump of 2026 is named but not projected forward.
- **The exchange rate** is about 31.82 Taiwan dollars per U.S. dollar (18 September 2026). Any Taiwan-dollar figure is dated and illustrative; U.S. dollars are what we commit to.
- **No currency hedge.** A contract to swap later is a derivative, banned in the competition, and would cost about 5.9% today.
- **Natural cushions:** the Taiwan dollar tends to weaken when U.S. stocks fall, which helps a U.S.-dollar gift. The 1995-96 crisis moved it at most 4.4%. A war threatens the project, not the payments.

The competition's rules, in practice

- **Format mistakes mean exclusion.** At the required double spacing, 550 words nearly fill two pages, so we plan for at most 470 words plus a 48-word pitch.
- **Notes are permanent** and may be cut at 300 characters. Test the box safely first. Never use "guaranteed", "risk-free", "safe", "match" or Laura quotes.
- **The advisor handles administration only.** Written rules decide; rules change only if Laura's circumstances change, never because markets move.
- **Trading basics:** no same-day buying and selling, orders fill at the next open, keep at least \$1,000 in cash, and only students place trades.

Phase 4 · Research: Laura, her partners and her attitude to risk

What we learned about Laura

- In her public interviews she separates two kinds of risk: leaps whose cost she carries herself are fine, but letting down early supporters is worse. So money other people rely on takes no risk.
- Being bold in a career does not predict being bold with investments. We never use her career story as a reason to own stocks.
- She has taught financial literacy and expects plain words and clearly stated costs. She would reject a show-off tone, hidden fees, false precision and one-sided risk stories.
- Her public projects put access first and grew once a community backed them. "Operations first, partners invited later" fits how she works.
- We found no public statement of hers about investing, so we never describe her "investment philosophy".
- A popular reading, that she only leaps once a floor is secured, comes from a reporter, not from her. We dropped it.

What her partners will look for

- Funders count only money that is actually committed, so we lead with what is bought, in U.S. dollars.
- Three words, one meaning each: *owned* (the floor), *expected if stocks hold their value* (the top), *kept* (her flexibility). Never "promised".
- Because her operations are fully funded, partners' money can go to the building, which funders prefer to running costs.

Risk, one goal at a time

- The payments need no risk and can bear none. The stock fund can bear losses: her living costs are covered elsewhere and nothing is withdrawn before 2033.
- Her ability to take risk is lowest before the 2028 deposit, which depends on her career. The plan holds no stocks until then.
- Rules decided in advance: never sell stocks to protect a gain or to "wait for a recovery". The stock fund falls in about a quarter of years (model); even in the worst tenth of outcomes the gift stays near \$169,000.

Phase 4 · Research: what judges look for and how to say it

What the judges and the case are really testing

- The case's words have shifted toward certainty and credibility: "certainty" appears 4 times, "credible/credibility" 3 times, "growth" once.
- Creativity means fit to Laura, not clever investments. Rivals using AI may reach a similar design, so our edge is reasons that are true only of her, plus real evidence of our process.
- Simplicity wins. A past judge praised "simple, elegant ideas"; past champions said "less is more".
- All three deliverables are judged together and notes are quoted exactly, so the notes must never contradict the IPS.

What professional investors do

- Pension funds "lock down the benefits promised, then grow surplus assets". Our design is standard professional practice, applied to one person.
- Professional policies set rules for bad markets in advance, each with a trigger, an action and a record, and may choose never to rebalance, as we do.
- A typical adviser charges about 1% a year. Charging costs only to the stock fund costs Laura about \$3,000; charging them on everything, about \$31,000 (model).

How to say it

- **The central idea is a split of jobs:** money others rely on is bought when it arrives; money nobody relies on is fully invested in world stocks.
- **The pitch:** purpose first; each deposit buys a promise; she tells partners only what she owns. No numbers, no dates that could turn out wrong.
- **Name trade-offs plainly** as "gives up X to get Y", and keep talk of risk to about 15% of the words.
- **Test it on people:** six outside readers restate the plan in their own words; anything two or more misread gets rewritten.

Phase 5 · Stress tests: the judge and "Laura"

Four teams were asked to attack the draft plan. Their findings changed the final design.

The judge's scores for the draft plan (out of 10)



32 of 50: "Top-50 substance, not yet Top-50 presentation". The ten fixes it proposed lift this to about 38.

- **Too dense:** about 55 ideas in 550 words. Now at most 12 ideas in 10 short blocks.
- **The pitch led with a rule, not a purpose,** and skipped the residency. Now: purpose first, "each dollar has one job".
- **The best story was unused:** we dropped the 75%-stock plan after testing showed missed payments. One reflection now tells it.

"Laura" (a simulation based on her public words)

- **Would likely choose us:** once bought, the payments stop depending on markets or her future earnings; the 2031 figure never needs taking back; gaps are named; she keeps her own two decisions.
- **Would push back on:** rules before purpose, "promised" for money still at risk, unstated fees, and labels such as "loss tolerance". All fixed.
- **Felt it was timid.** Our answer: the payments cost about 98% of her first deposit, so the caution is arithmetic, not a judgement of her. Stocks are there for a bigger gift and more flexibility in good markets.
- **Her likely questions:** which residency year waits if bond prices rise (2033); what she pays; what stays hers; whether a crash changes the plan (no).

Phase 5 · Stress tests: the rival and the pre-mortem

The rival team's best attack, and what we did

A rival strategist proposed buying the \$150,000 building floor in 2028 instead of locking stocks in 2031. It was better: the floor is fixed three years earlier (\$150,000, against \$134,000 in a bad case or \$93,000 after a 1929-style crash), and the worst historical result improves from \$120,000 to \$169,000. **We adopted it.**

- What we accept in return: a smaller typical gift (\$174,000 against about \$186,000-188,000) and a lower best case.
- Where the old design still wins: if a crash fully recovers before 2031, as in 1973-78. It remains the documented alternative for the team's vote.
- The rival's own figures for falling rates were wrong and were corrected before use.

The pre-mortem: imagine we failed, then ask why

How we could fail	Prevention
The team does not own the plan	Each student writes 3-5 lines in their own words, with no AI open, before each vote; two-minute explain-backs.
A format breach (fatal)	Letter size, Word "Double" spacing, at most 470 + 48 words counted twice, PDF checked; freeze 3 November.
Too many ideas	At most 12 ideas; six outside readers restate it.
AI wording in permanent notes	Draft offline; search every five-word phrase against the research folder; keep a dated AI-use log.
Notes contradict the IPS	One vocabulary and one set of labels, fixed before the first note.
Missed deadlines	Roles set now, submit a day early (22 October, 5 November), watch exam clashes.
Breaking a trading rule	No same-day selling, no tidy-up trades, check the holding limit first.

Phase 6 · Decision: the ten insights behind the plan

Question	What we concluded
When two designs give the same typical result, which wins?	The one with the better bad case and fewer rules: \$182k vs \$168k in a bad case, \$207k vs \$210k typically (model); \$169k vs \$120k in the worst historical stretch.
What job is Laura hiring a firm for?	To make promises no market or future contract can take back: payments first, then a building floor from her own earnings.
Is "high certainty" true?	Yes, because it is bought, not forecast, with two honest gaps: the January 2027 price can exceed \$300,000 (about 1 case in 3), and fixed dollars buy less as prices rise (at 2.5% inflation, the 2042 payment is worth about \$33,700 in today's money).
Why so little stock for a founder who likes bold moves?	The caution is forced by arithmetic, not chosen for her personality: the payments use about 98% of the first deposit. All money nobody relies on is fully in stocks.
How is the 2031 range set without overpromising?	By a rule: bottom = what she owns; top = a market value on the day, capped; any extra stays hers; the chance of reaching the top is stated.
What makes this more than a textbook plan?	Each deposit buys one promise when it arrives. The second deposit's own \$150,000 becomes the building floor. That rule is specific to Laura.
What should the trading game show?	Her plan on the first day all three jobs exist (January 2028), scaled to \$300,000, and every note says so.
Which words survive a permanent note?	Never "match", "promised" or "guaranteed". Say "moves like" or "stands in for": most bonds in the long bond fund mature after 2042.
How do the three notes show "supported, tested, refined" honestly?	One is tested against numbers written down before the trade; one is "refined" only if the team's log shows the change was decided first; one tells the true story of dropping growth-first after testing.
How much fits in a 500-word IPS?	About 12 ideas in 10 short blocks, one number, then tested on six outside readers.

Phase 6 · Decision: what changed from the earlier plan

Change	Why
Vote before any trade	Notes are permanent. Trading before the team decides could contradict the plan later.
Central idea: a split of jobs , not a ban on stocks until 2028	A ban is broken on day one by the stock fund in the trading game.
Game portfolio: three jobs instead of roughly 65% bonds and 35% stocks	Three jobs give three distinct, honest notes. Four trades cost \$100 in fees.
Notes written by students , short, checked by two outside readers	Notes cannot be edited, and the AI policy requires the students' own words.
Building floor bought in 2028 , not 80% of a stock sleeve locked in 2031	Same typical result, better bad cases, fewer rules. Cost: a smaller typical gift (\$174k vs about \$186-188k).
A capped 2031 range with the chance of reaching the top	A top taken from a model landed in the range only 62-93% of the time.
Certainty defined by price, with two named gaps	"Fits inside \$300,000" and "bought in January 2027" fail in about 1 case in 3, so they cannot be headlines.
Buy on arrival, latest payments first	If short of money, this leaves less unfunded (\$31.4k vs \$47.7k if rates fall 1 point and the deposit never comes).
2028: finish the payments first	The joint worst case is named once: \$11,957 or \$31,413 of the first payment unfunded if rates fall 0.5 or 1 point.
2033: no currency conversion or hedge	Currency contracts are derivatives, banned in the game; a hedge would cost about 5.9%.
Costs paid from the stock fund only	A 1% fee on the stock fund costs about \$3k (typical); on everything, about \$31k.
A simple IPS : 10 blocks, about 12 ideas, one number	An early draft had about 55 ideas; last year's lesson was "over-complex".

What we considered and rejected

- Waiting for better bond prices or buying in stages: no reliable gain.
- Inflation-linked U.S. bonds: they track U.S. prices, not Taiwan building costs.
- A Taiwan fund, AI or theme tilts: concentration and tokenism.
- Locking growth in 2031 (the earlier design): kept as the documented alternative for the team's vote.

Kept from the team's original thinking: buy all ten payments first, latest first, and hold them to the end.

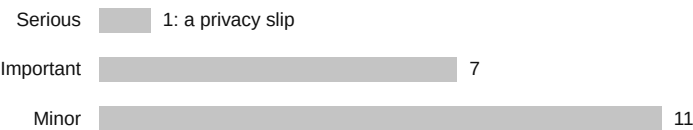
Phases 7 and 8 · Blind test and final check

Phase 7 · Blind test

Six anonymous plans were written to the same length and layout, and a fairness checker removed loaded words. Three reviewers playing Laura ranked all six; ours was first every time (full results on the "Would Laura choose this plan?" page). Their shared request, to show the balance between caution and ambition more clearly, is now on the team's list.

Phase 8 · Final check

A final checker compared every output with the plan and re-ran the numbers.



Problems found. 18 of 19 were fixed; one minor item was correct as an illustration and left.

- **Serious:** one filed question quoted a line we had excluded for privacy. The text was removed.
- **Important:** outdated figures that had since been corrected; one of Laura's own words placed where only the case's words belong; a claim that the plan "never misses" without its stated exception; and funds named without the "check availability first" warning.
- After the fixes, every figure matches the final plan, and all files agree on dates, portfolio, notes and rules.

Decisions for the team

These choices belong to the team. For each, we give our recommendation.

Decision	Our recommendation
Secure all ten payments first?	Yes. Each student writes why, in their own words, before the vote.
Building floor in 2028, or lock growth in 2031?	2028. Choose the design all six students can explain in two minutes.
What the trading game shows	Laura's plan in January 2028, scaled to \$300,000; switch to her 2027 portfolio only if outside readers are twice confused.
How much of the stock fund is given in 2033	Half. The kept half is about three to four years of Taiwan building-cost rises.
More stocks, given "too cautious" feedback?	No by default. If yes, a smaller floor (\$100,000-134,000), and state what certainty costs.
Roles	Every student owns a note or reflection and a block of the IPS; one trader plus a backup.
Keep the research folder public until 4 December?	The team leader decides and records the copying risk.

Checks still needed on the trading platform

- Screenshot the session rules: holding limit, trades allowed, fees. If the limit is under about 17%, pause and ask Wharton.
- Confirm each fund and a Treasury maturing in the second half of 2032 is listed; check any activity minimum.
- Test the note box length without saving; record the exact username for the title page.

Timeline

When	Action
Before trading	Record the three votes. Log in to the platform: record the holding limit, check each fund is listed, test the note length safely.
By 2 October (U.S.)	Place the trades. Each note is written by one student and checked by another.
23 October	Submit the Trading Notes Analysis.
6 November	Submit the Investment Policy Statement. Trading ends and the strategy is final.

Lessons and plain-word glossary

Three lessons from this work

- 1. **Match money to its job.** Money someone relies on is protected; only spare money takes risk.
- 2. **Check before you build.** Several popular "facts" (a quote, a story about Laura, a rule, a market figure) were wrong.
- 3. **Simple beats clever.** The recommended plan has two purchase dates and nothing to manage afterwards.

Glossary

Bond	A loan to the U.S. government that repays a fixed amount on a fixed date.
Ladder	Several bonds maturing in different years, one for each payment.
Building floor	The \$150,000 for the building that Laura owns from 2028, whatever markets do.
Stock fund	One fund that owns thousands of companies around the world.
Interest rates fall	Bonds become more expensive to buy; this is why the January price matters.
Model	A computer simulation of thousands of possible futures. It gives estimates, not forecasts.
Bad / typical / good case	The result that 1 in 20 futures is worse than / the middle result / 1 in 20 is better than.
Red team	A group asked to attack a plan and find its weaknesses.
Trading game (WInS)	The competition's simulator, with \$300,000 of virtual cash.
IPS	Investment Policy Statement: the rules the portfolio will follow.

Where the detail is: the Trading Notes pack and IPS specification are the working checklists; the 831-page research record holds every question, source, model and check behind this report.